

21 E I Department of Examinations, Sri Lanka Department of Examinations, Sri Lanka Department of Examinations, Sri Lanka	
අධ්‍යයන පොදු සහතික පත්‍ර (උසස් පෙළ) විභාගය, 2010 අගෝස්තු கல்விப் பொதுத் தராதரப் பத்திர(உயர் தர)ப் பரீட்சை, 2010 ஓகஸ்ட் General Certificate of Education (Adv. Level) Examination, August 2010	
ආර්ථික විද්‍යාව I பொருளியல் I Economics I	පැය තුනයි மூன்று மணித்தியாலம் Three hours

Index No. :

Note: ● This paper consists of two parts. Part I and Part II.
 ● Time allocated for both is three hours.
 ● Tie the answer scripts of both part I and part II together and hand over.

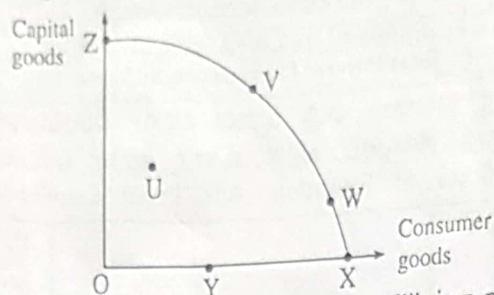
Part I

- * There are 20 questions in this Part and all questions are compulsory.
- * Each question carries 02 marks and the total marks for this Part is 40.
- * All questions in Part I must be answered on this paper itself.
- * Each multiple-choice question has only one correct answer. Identify and underline the correct answer.

1. The three groups of decision makers in a mixed economic system are
 - (i) households, business firms and banks.
 - (ii) households, business firms and government.
 - (iii) households, government and cooperatives.
 - (iv) business firms, government and banks.
 - (v) business firms, government and cooperatives.
2. With reference to the functions of the price mechanism in a free market economy, which of the following statements is true?
 - (i) Eliminates the surpluses of a good by allowing the market price to rise.
 - (ii) Ensures price stability.
 - (iii) The price mechanism is used by government to set up production targets.
 - (iv) Falling prices will encourage firms to enter a market.
 - (v) The price mechanism acts as a rationing device.
3. One reason for the existence of mixed economies is that
 - (i) the free market economy does not ensure private property rights.
 - (ii) the profit motive is always undesirable.
 - (iii) competition between firms ensures consumer welfare is maximized.
 - (iv) the free market economy may lead to market failure.
 - (v) the free market economy always allocates resources efficiently.
4. 'Consumer sovereignty' occurs when
 - (i) consumer demand determines what is to be produced.
 - (ii) consumers pay less for a good than they are willing to pay.
 - (iii) there is no advertising in a market.
 - (iv) demand equals supply.
 - (v) there is a choice in the market.

5. The diagram shows the production possibility curve of a country. Which movement involves no opportunity cost?

- (i) Y to Z
- (ii) V to W
- (iii) W to X
- (iv) X to W
- (v) U to V



6. Which one of the following situations would lead to an increase in equilibrium price in a competitive market?

- (i) Demand is perfectly elastic and firms' labour costs rise.
- (ii) Demand is perfectly inelastic and firms' labour costs fall.
- (iii) Demand is perfectly inelastic and firms' labour costs rise.
- (iv) Supply is perfectly elastic and the price of a substitute falls.
- (v) Supply is perfectly inelastic and the price of a complementary good rises.

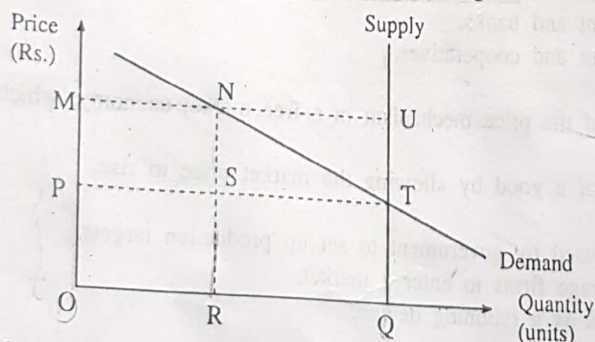
7. A mobile phone company has 1 million subscribers for a special package of services called 'Abhimana'. Each subscriber pays a monthly fee of Rs. 100 for this package. The company estimates that the price elasticity of demand for 'Abhimana' is -4.0 . If the company reduces monthly fee by Rs. 25, the total revenue

- (i) increases by Rs. 100 million.
- (ii) increases by Rs. 75 million.
- (iii) increases by Rs. 50 million.
- (iv) decreases by Rs. 50 million.
- (v) decreases by Rs. 100 million.

8. The substitution effect of a price change is the change in quantity demanded that occurs

- (i) as a result of change in absolute prices, with real income held constant.
- (ii) as a result of change in relative price, with money income held constant.
- (iii) as a result of change in relative price, with utility held constant.
- (iv) as a result of change in real income, with relative prices are held constant.
- (v) with a change in relative prices of two or more goods.

9.



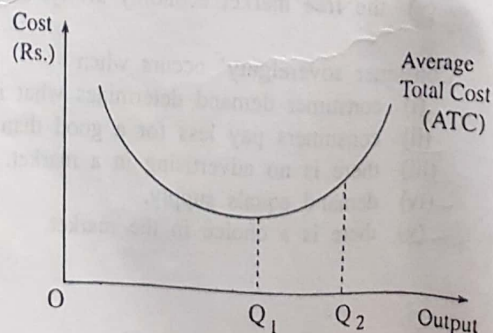
The diagram above shows the market demand and supply curves for an agricultural product. The government currently supports the product's price at OM by intervention buying. If the government then withdraws this support it would reduce government's expenditure by

- (i) NUT
- (ii) NUTS
- (iii) STQR
- (iv) NUQR
- (v) PMUT

10. The diagram shows how a firm's average total cost changes as it employs more of all its factors of production, including capital and labour.

As the firm increases its output from OQ_1 to OQ_2 , the diagram illustrates

- (i) the benefits of monopoly power.
- (ii) the benefits of increased specialization.
- (iii) diseconomies of scale.
- (iv) increasing returns to scale.
- (v) increased productive efficiency.



11. In the short run, even if average revenue is less than average cost, it will pay a firm to continue in business so long as average revenue is greater than
- (i) average fixed cost. (ii) marginal cost.
(iii) average variable cost. (iv) variable cost plus fixed cost.
(v) marginal revenue.

12. Firm X sells its product in a perfectly competitive market. Firm Y operates in an oligopolistic market and Firm Z is a pure monopoly. Which of the following descriptions of their products is correct?

	Product of Firm X	Product of Firm Y	Product of Firm Z
(i)	Differentiated	Differentiated	Unique
(ii)	Unique	Homogeneous	Differentiated
(iii)	Homogeneous	Differentiated	Unique
(iv)	Unique	Unique	Differentiated
(v)	Homogeneous	Unique	Differentiated

13. In the short run, suppose a firm is producing at its minimum average cost per unit of output. What effect will a small reduction in output have on the firm's marginal, average and total cost?

	Marginal cost	Average cost	Total cost
(i)	fall	fall	fall
(ii)	fall	rise	fall
(iii)	rise	fall	fall
(iv)	rise	fall	rise
(v)	rise	rise	fall

14. In 2009, an economy's nominal national income grew by 8%, the price level rose by 4% and the population grew by 1%. From this information, it can be concluded that real national income per head grew by
- (i) exactly 4% (ii) more than 4% (iii) less than 3%
(iv) exactly 3% (v) more than 3%

15. Suppose the Gross Domestic Product of a country is Rs. 6,000 billion, and the index of general price level stands at 150. What is the country's Gross Domestic Product, valued in the prices of the base year of the price index?
- (i) Rs. 7,500 billion (ii) Rs. 4,000 billion (iii) Rs. 3,500 billion
(iv) Rs. 3,000 billion (v) Rs. 2,000 billion

16. Other things being equal, if an increase of Rs. 75 million investment expenditure resulted in an increase in national income of Rs. 300 million, what is the value of Marginal Propensity to Consume (MPC)?
- (i) 0.80 (ii) 0.75 (iii) 0.50 (iv) 0.40 (v) 0.25

17. The Table below shows selected macro economic data for an economy.

Year	Level of Income (Y) (Rs. Billion)	Level of Consumption (C) (Rs. Billion)
1	400	300
2	500	350
3	600	400
4	?	500

What would be the new level of income (Y) in Year 4, if consumption (C) in this economy increases to Rs. 500 billion in Year 4 and the Marginal Propensity to Consume (MPC) remains constant?

- (i) Rs. 200 billion (ii) Rs. 400 billion (iii) Rs. 650 billion
(iv) Rs. 800 billion (v) Rs. 850 billion
18. Which of the following forms of government intervention could correct market failures?
- (i) Restricting the entry of new firms into monopoly industries which generate high profits.
(ii) Allowing the private sector to produce merit goods.
(iii) Taxation of goods which yield high external benefits.
(iv) Granting of subsidies to goods which yield high external benefits.
(v) Rationing of public goods.

19. Which of the following comes closest to being a 'pure public good'?
- (i) national defence (ii) education (iii) transport
(iv) electricity supply (v) health services
20. If the government increases expenditures on goods and services and increases taxation by the same amount, which of the following will occur?
- (i) Aggregate demand will be unchanged.
(ii) Aggregate demand will increase.
(iii) Interest rates will decrease
(iv) The money supply will decrease.
(v) The money supply will increase.

Department of Examinations, Sri Lanka இலங்கைப் பரீட்சைத் திணைக்களம் Department of Examinations, Sri Lanka	21 E I
අධ්‍යයන පොදු සහතික පත්‍ර (උසස් පෙළ) විභාගය, 2010 අගෝස්තු கல்விப் பொதுத் தராதரப் பத்திர(உயர் தர)ப் பரீட்சை, 2010 ஓகஸ்ட் General Certificate of Education (Adv. Level) Examination, August 2010	
ආර්ථික විද්‍යාව I பொருளியல் I Economics I	

Part II

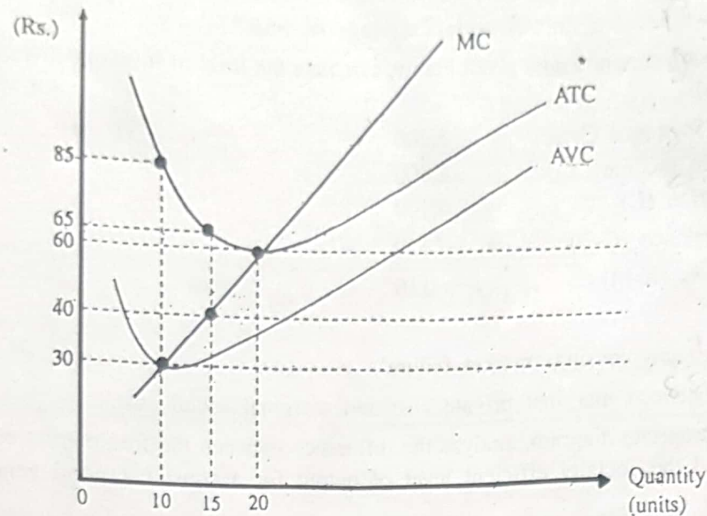
Instructions: Answer four questions only, selecting two questions from Sub-section A and two questions from Sub-section B.

Sub section A

(Select two questions from this Section.)

1. (i) What is meant by 'economic resources'? (02 marks)
 (ii) Why money is not considered capital in economics? (02 marks)
 (iii) Distinguish between 'renewable resources' and 'non renewable resources' (02 marks)
 (iv) What are the major functions of the entrepreneur? (03 marks)
 (v) State the difference between a command economy and a market economy in the way the fundamental economic problems are answered. (06 marks)
2. (i) What are the assumptions on which the production possibilities curve is based? (03 marks)
 (ii) What factors or events could cause an inward shift of the production possibilities curve? (03 marks)
 (iii) Construct a production possibilities curve (PPC) for a country facing increasing opportunity costs and show how the following events can be represented in a PPC framework.
 (a) a large number of skilled workers emigrating to other countries
 (b) a recession
 (c) a new and better fertilizer is invented
 (d) economic growth (05 marks)
 (iv) Using economic analysis examine the implications of a reallocation of resources from consumer goods to capital goods in an economy. (04 marks)
3. (i) Distinguish between 'wants' and 'demand'. (02 marks)
 (ii) Explain the 'law of demand' through the income and substitution effects. (04 marks)
 (iii) Name three factors determining the price elasticity of demand. (03 marks)
 (iv) Assume that the market demand curve for sugar is $Q_d = 260 - 3P$ and the market supply curve of sugar is $Q_s = -140 + 2P$
 (a) Suppose the government imposes an excise tax of Rs. 5 per unit of sugar. What is the price the consumers pay for a unit of sugar after the tax is implemented? (02 marks)
 (b) What is the change in consumer surplus as a result of the tax? (04 marks)

4. (i) What is the difference between 'producer surplus' and 'economic profit'? (02 marks)
 (ii) Explain the difference between 'diminishing returns' and 'decreasing returns to scale'? (02 marks)
 (iii) Define the term 'natural monopoly'. (02 marks)
 (iv) Why is a firm in a perfectly competitive industry a price taker? (02 marks)
 (v) The diagram below shows a short-run situation of a firm operating in a perfectly competitive industry.



- (a) What is the profit maximizing output that this firm will choose to produce in the short run, if the market price is Rs. 40 per unit of output? (02 marks)
 (b) Calculate the amount of profit or loss to the firm at this situation. (03 marks)
 (c) What is the value of fixed cost for this firm? (02 marks)

Sub Section B

(Select two questions from this section.)

5. (i) How would the following events affect the GDP? (In your answer, explain only the initial effect on GDP.)
 (a) Firms decrease their inventories.
 (b) You sell your used bicycle to a friend.
 (c) You buy a piece of land with an intention to build a new house.
 (d) A retired worker gets an increase in his pension allowance. (04 marks)
 (ii) What are the components of gross investment? (03 marks)
 (iii) What is the difference between national income and personal income? (02 marks)
 (iv) "A country that spends more than its total national income must have a trade deficit". Comment on this statement. (02 marks)
 (v) Consider the data given below for a hypothetical economy.

Item	Amount (Rs. Billion)
Wages, salaries and supplementary labour incomes	550
Indirect taxes	120
Subsidies	30
Farmers' income	20
Depreciation	60
Interest and miscellaneous investment incomes	90
Income of nonfarm unincorporated businesses	70
Corporate profits	80

- (a) Calculate Net Domestic Income of this economy. (02 marks)
 (b) Calculate Gross Domestic Product at market prices. (02 marks)

6. (i) Explain graphically the determination of the equilibrium GDP through both the aggregate expenditure approach and the leakages-injections approach, for an economy comprising of government sector and foreign trade sector. (06 marks)
- (ii) Suppose the aggregate consumption function for a simple economy is as follows.
 $C = 200 + \frac{2}{3} Y$
- (a) What would the equation be for the aggregate savings function? (03 marks)
- (b) At which level of income would savings be zero? (02 marks)
- (iii) From the macroeconomic data given below, calculate the level of investment (I) and government purchases (G). (04 marks)
- | | | |
|-----------------------------|---|-------|
| National Income (Y) | = | 5,200 |
| Disposable income (Y_d) | = | 4,400 |
| Consumption (C) | = | 4,100 |
| Budget balance (G-T) | = | 150 |
| Net exports (X-M) | = | - 110 |
7. (i) Give four reasons causing 'market failure'. (04 marks)
- (ii) Distinguish between marginal private cost and marginal social cost. (02 marks)
- (iii) Using an appropriate diagram, analyse the difference between the free market equilibrium level of output and the socially efficient level of output for a consumer good generating positive externalities. (04 marks)
- (iv) Give one example each for the goods and services that are
- (a) non-rivalrous but excludable. (03 marks)
- (b) non-excludable but rivalrous. (02 marks)
- (c) non-rivalrous and non-excludable.
- (v) Give two reasons causing 'government failure'.
 - lack of incentives
 - Bureaucracy in making decisions
8. (i) What is the difference between 'horizontal equity' and 'vertical equity'? (02 marks)
- (ii) What is meant by the term 'excess burden of taxation'? Explain your answer with an appropriate diagram. (04 marks)
- (iii) Identify four major sources of non tax revenue in Sri Lanka. (04 marks)
- (iv) Name the main components of recurrent expenditure of the central government of Sri Lanka according to the economic classification. (03 marks)
- (v) Distinguish between 'Appropriation Bill' and 'Vote on Account'. (02 marks)

Handwritten notes:

- Taxes & charges
- Rent
- Profits from state comp.
- Privatization proceeds.

Vertical equity

Horizontal equity

Y ↑ Tax ↑

All same
Y
Ppl

(Should pay)

Same amount of Tax

Department of Examinations, Sri Lanka දෙපාර්තමේන්තුව, ශ්‍රී ලංකා විභාග දෙපාර්තමේන්තුව Department of Examinations, Sri Lanka දෙපාර්තමේන්තුව, ශ්‍රී ලංකා විභාග දෙපාර්තමේන්තුව		
21	E	II
අධ්‍යයන පොදු සහතික පත්‍ර (උසස් පෙළ) විභාගය, 2010 අගෝස්තු கல்விப் பொதுத் தராதரப் பத்திர(உயர் தர)ப் பரீட்சை, 2010 ஓகஸ்ட் General Certificate of Education (Adv. Level) Examination, August 2010		
ආර්ථික විද්‍යාව II பொருளியல் II Economics II	පැය තුනයි மூன்று மணித்தியாலம் Three hours	

Index No. :

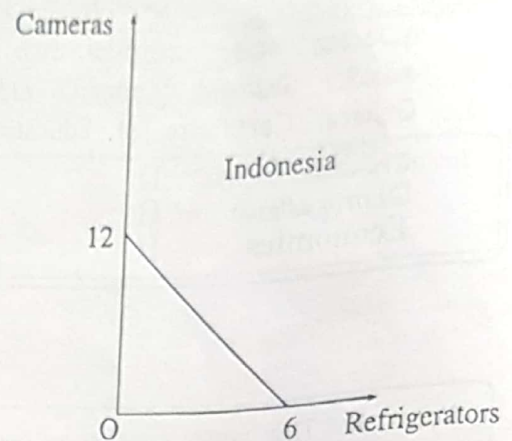
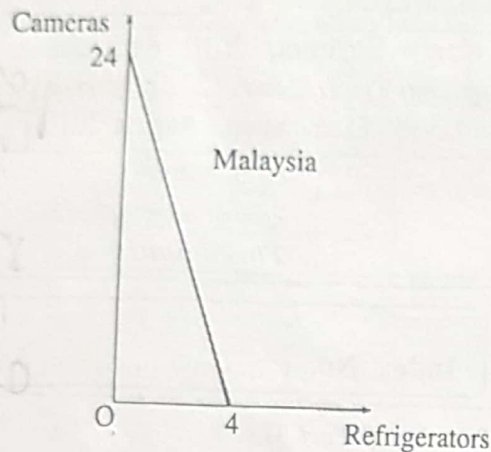
- Note:
- This paper consists of two parts. Part I and Part II.
 - Time allocated for both is three hours.
 - Tie the answer scripts of both part I and part II together and hand over.

Part I

- * There are 20 questions in this Part and all questions are compulsory.
- * Each question carries 02 marks and the total marks for this Part is 40.
- * All questions in Part I must be answered on this paper itself.
- * Each multiple-choice question has only one correct answer. Identify and underline the correct answer.

- One of the commercial banks in the banking system, has Rs. 400 million in reserves, and Rs. 3,500 million deposits. Then, one customer of the bank deposits Rs. 100 million in cash at the same bank. If the statutory reserve requirement is 10%, what is the amount of excess reserves of the bank after the cash deposit.
 - Rs. 380 million
 - Rs. 360 million
 - Rs. 240 million
 - Rs. 140 million
 - Rs. 40 million
- When the Central Bank of Sri Lanka is engaged in reverse repurchase agreements with commercial banks, it leads to
 - a decrease in reserves.
 - an increase in interest rates in the money market.
 - a decrease in the money supply.
 - set an upper limit for the interest rates in the call money market.
 - set a lower limit for the interest rates in the call money market.
- The speculation demand for money suggests that
 - individuals hold onto money for the purpose of engaging in transactions.
 - as the rate of interest rises, the demand for money will rise.
 - when the economy becomes more uncertain, people are more likely to hold onto money.
 - the velocity of money is constant.
 - as the rate of interest falls, the demand for money will rise.
- Which one of the following is a cause of demand-pull inflation?
 - A sharp increase in the price of oil.
 - Higher wages negotiated by the unions.
 - Open market purchases of government securities by the Central Bank.
 - Open market sales of government securities by the Central Bank.
 - A decrease in government purchase of goods and services.

5. The following two production possibilities curves show the alternative outputs which can be produced with a composite resource unit in Malaysia and in Indonesia.



For mutually beneficial trade to occur, the rate of exchange between cameras and refrigerators should be

- less than 2 units of cameras per refrigerator.
- less than 1.5 units of cameras per refrigerator.
- between 3 and 4 units of cameras per refrigerator.
- between 2 and 6 units of cameras per refrigerator.
- more than 6 units of cameras per refrigerator.

6. A devaluation would be most effective in which of the following circumstances?

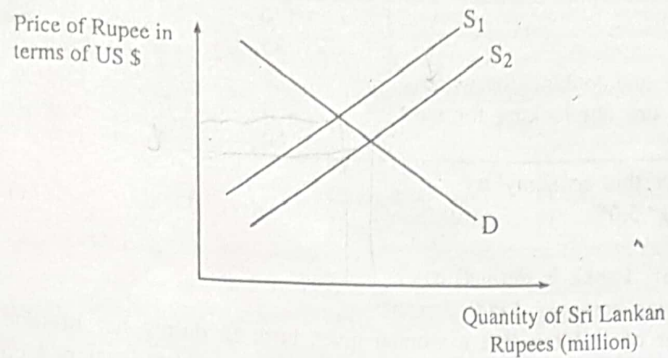
	Price elasticity of demand for exports	Price elasticity of demand for imports	Price elasticity of supply of exports
(i)	- 0.6	- 0.2	+ 0.2
(ii)	- 0.2	- 0.5	+ 0.1
(iii)	- 0.2	- 0.4	- 0.2
(iv)	- 0.8	- 0.9	+ 1.3
(v)	- 0.3	- 0.2	+ 0.4

7. If the terms of trade improve then
- the volume of imports falls faster than the volume of exports.
 - the value of exports rises faster than the value of imports.
 - the foreign exchange reserves improve.
 - less has to be exported to buy a given quantity of imports.
 - the foreign demand for home exports must have increased.

8. From December 2007 to December 2008, the value of US dollar changed from Rs. 108 to Rs. 113. This change would represent

- a depreciation of rupee.
- a depreciation of US dollar.
- a revaluation of rupee.
- a devaluation of US dollar.
- an appreciation of rupee.

9. The diagram below shows the demand for and supply of Sri Lankan rupees in the foreign exchange market. Which one of the following is likely to cause a shift in the supply curve from S_1 to S_2 ?



- (i) More Sri Lankans traveling to the United States.
 (ii) More United States tourists visiting Sri Lanka.
 (iii) Increased exports to the United States.
 (iv) Increased subsidies to Sri Lanka's export industries.
 (v) Increased investment by United States investors in Colombo Stock Exchange.
10. All of the following will increase the economy's potential output except,
 (i) an increase in human capital.
 (ii) an increase in physical capital.
 (iii) technological innovation.
 (iv) an increase in social capital.
 (v) a decrease in the general level of prices.
11. One of the components of the Human Development Index is
 (i) the percentage of population who are in secondary schools.
 (ii) the average daily intake of protein.
 (iii) life expectancy at birth.
 (iv) the number of doctors per 1,000 people in the population.
 (v) maternal mortality.
12. The Poverty Headcount Index and Gini coefficient of household income in Sri Lanka for the year 2006/07 were

	Poverty Headcount Index	Gini coefficient
(i)	22.7	0.48
(ii)	15.2	0.49
(iii)	28.8	0.49
(iv)	15.2	0.52
(v)	15.7	0.48

13. The Table shows the Gini coefficient for country A and country B over three years.

Year	Country A	Country B
2000	0.40	0.90
2005	0.60	0.75
2009	0.65	0.70

Which statement is correct given the data in the Table?

- (i) The Lorenz curve for country A is moving closer to the line of equality.
 (ii) The Lorenz curve for country B is moving closer to the line of equality.
 (iii) The Lorenz curve for country A is further away from the line of equality than the Lorenz curve for country B.
 (iv) The Lorenz curve for country B is further away from the line of equality than the Lorenz curve for country A.
 (v) The Lorenz curves for both country A and country B are moving closer to the line of equality.

14. Employment and unemployment data for a hypothetical economy are given below.

Category	Number (millions)
Population	170
Employed	95
Unemployed and looking for work	5
People who are not looking for work	3
Retired	60

The unemployment rate for this economy is

- (i) 5.3% (ii) 5.0% (iii) 4.8% (iv) 3.0% (v) 2.9%

15. The dependency ratio in Sri Lanka is defined as

- (i) the number of babies born per 1,000 persons.
 (ii) the average number of children that a woman gives birth to during her lifetime.
 (iii) A measure of the degree to which Sri Lanka is dependent on the developed countries.
 (iv) The percentage of population that is below 10 and above 65 years of age.
 (v) The percentage of population that is below 15 and above 64 years of age.

16. Which of the following is a BRIC country?

- (i) Bangladesh (ii) Brazil (iii) Rumania (iv) Indonesia (v) Chile

17. Which of the following will increase Sri Lanka's international competitiveness?

- (i) An increase in import duties.
 (ii) An increase in Sri Lanka's wage rates.
 (iii) A decrease in the rate of inflation in Sri Lanka.
 (iv) An appreciation of the external value of Sri Lankan rupee.
 (v) An increase in the sales of Sri Lankan sovereign bonds in international capital markets.

18. Which of the following statements could be described as an example of supply-side economic policy?

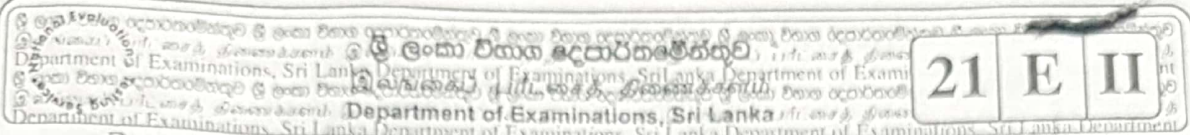
- (i) Reduction in import duty on wheat flour by the government would reduce the cost of living.
 (ii) Increases in transfer payments by the government are a means of raising living standards.
 (iii) Expansionary fiscal policy is required to move the economy to a situation of full employment.
 (iv) Growth of the economy is mainly determined by the growth in aggregate demand for its output.
 (v) Income tax cuts will increase incentives to work and therefore increase the level of employment.

19. The current Gross National Income per capita used by the World Bank to classify the low income countries is

- (i) US \$ 810 or less. (ii) US \$ 825 or less. (iii) US \$ 935 or less
 (iv) US \$ 1,000 or less. (v) US \$ 2,029 or less.

20. If the government simultaneously engages in expansionary monetary and fiscal policies, which of the following is the likely effect on interest rates and unemployment level?

	Interest rates	Unemployment level
(i)	increase	indeterminate
(ii)	increase	decrease
(iii)	increase	increase
(iv)	indeterminate	decrease
(v)	indeterminate	increase



අධ්‍යයන පොදු සහතික පත්‍ර (උසස් පෙළ) විභාගය, 2010 අගෝස්තු
கல்விப் பொதுத் தராதரப் பத்திர(உயர் தர)ப் பரீட்சை, 2010 ஓகஸ்த்
General Certificate of Education (Adv. Level) Examination, August 2010

ආර්ථික විද්‍යාව II
பொருளியல் II
Economics II

Part II

Instructions: Answer four questions only, selecting two questions from Sub-section A and two questions from Sub-section B.

Sub section A

(Select two questions from this Section.)

1. (i) Calculate the velocity of circulation of money if real GDP is 3,000 units, the average price level is Rs. 4 per unit and the quantity of money in the economy is Rs. 1,500. (02 marks)
- (ii) Use the Equation of Exchange to explain why money growth and inflation tend to be closely linked. (02 marks)
- (iii) Distinguish between monetary aggregates M_2 and M_{2b} (04 marks)
- (iv) Explain how change in the money supply affects aggregate demand. (04 marks)
- (v) Examine the relationship between the interest rate and the asset demand for money. (03 marks)
2. (i) State the main functions of commercial banks in Sri Lanka. (03 marks)
- (ii) Name the top three purposes to which the commercial bank lending in Sri Lanka has been directed at? (03 marks)
- (iii) What is meant by fractional reserve banking? (03 marks)
- (iv) Suppose the Central Bank wants to reduce money supply. Describe the measures it might take and how these measures would accomplish Central Bank's objective. (06 marks)
3. (i) The following Table describes the number of metres of cloth and units of bicycles that can be produced with a week's worth of labour in Japan and in Korea. Assume that no other inputs are needed.

Commodity	Japan	Korea
Cloth (metres)	12	8
Bicycles (units)	6	2

- (a) If there is no trade, what is the price of a bicycle in terms of cloth in Japan and in Korea? (02 marks)
- (b) Which country has the comparative advantage in the production of cloth? Explain your answer. (02 marks)
- (c) If the two countries start trading with each other, which country will specialize and export which good? (02 marks)
- (d) What can be said about the rate of exchange at which trade will take place? (02 marks)
- (ii) Identify the sources of comparative advantage in international trade. (04 marks)
- (iii) Give three forms of non tariff barriers on free trade. (03 marks)

4. (i) The following Table presents balance of payments data for a hypothetical economy.

Item	Value (Rs. million)
Exports of goods and services	250
Imports of goods and services	400
Net Foreign direct investment	50
Net capital transfers	25
Net current transfers	30
Net portfolio investment	20
Net portfolio investment income	8
Government short term and long term borrowing	160
Private short term and long term borrowing	75
Errors and omissions	2

Calculate (a) current account balance (b) capital account balance (c) financial account balance and (d) overall balance.

- (ii) What is meant by purchasing power parity (PPP) exchange rate? (08 marks)
- (iii) What are the main objectives of the International Monetary Fund? (04 marks)
- (03 marks)

Sub section B

(Select two questions from this section.)

5. (i) What is 'potential output'? (02 marks)
- (ii) What are the benefits of economic growth? (04 marks)
- (iii) List four important sources of economic growth. (04 marks)
- (iv) What are the critical factors determining the level of labour productivity of a country? (05 marks)
6. (i) Critically distinguish between economic growth and development. (04 marks)
- (ii) What are the Millennium Development targets at which Sri Lanka has already reached? (03 marks)
- (iii) "The proportion of people below the poverty line in rural and estate sectors in Sri Lanka is still very high". What factors would you identify as causes of persistent poverty in these sectors? (04 marks)
- (iv) What are the major components of social safety net programme in Sri Lanka? (04 marks)
7. (i) What is the gender composition of the economically active population in Sri Lanka? (02 marks)
- (ii) What is the value of dependency ratio in Sri Lanka? (02 marks)
- (iii) How do demographic changes affect economic growth in Sri Lanka? (04 marks)
- (iv) What are the important characteristics of the informal economy in Sri Lanka? (04 marks)
- (v) Identify some important socio-economic characteristics of Sri Lankan migrant workers in the Middle East. (03 marks)
8. (i) Examine the salient features of 'Gemidiriya' community development and livelihood project. (03 marks)
- (ii) What would be the implications of the removal of GSP-Plus on Sri Lankan economy? (04 marks)
- (iii) Give reasons why the regional business environment is not conducive to faster growth in the SME sector in Sri Lanka. (04 marks)
- (iv) Identify the key challenges that will have to be overcome, if Sri Lanka is to fully capitalize the post-war growth opportunities opening up. (04 marks)
